

Requirements, Implementation Considerations, and Evidence below summarize the supplied pages. The remaining sections contain suggested practical content for your platform, rather than additional IIA requirements. Risk ratings are illustrative.

Principle 3 — Demonstrate Competency

Internal auditors apply the knowledge, skills, and abilities needed to fulfill their roles and responsibilities. Competency requirements vary according to the services performed. Continuous development supports effective, high-quality internal audit services.

Standard 3.1 — Competency

Domain: II — Ethics and Professionalism

Principle: 3 — Demonstrate Competency

1. Standards & Guidance

Requirements

- Internal auditors must possess or obtain the knowledge, skills, and abilities necessary to perform their responsibilities successfully.
- Competencies must be appropriate to the auditor's position, responsibilities, and experience.
- Internal auditors must possess or develop knowledge of the Global Internal Audit Standards.
- Internal auditors must undertake only services for which they possess or can attain the necessary competencies.
- Each internal auditor is responsible for continually developing and applying their competencies.
- The chief audit executive must ensure that the internal audit function collectively possesses or obtains the competencies necessary to deliver the services described in its charter.

Considerations for Implementation

Relevant competencies include:

- Communication, collaboration, supervision, and leadership.
- Governance, risk management, and control processes.
- Business functions, including financial management and information technology.
- Pervasive risks, including fraud.
- Techniques and tools for gathering, analyzing, and evaluating data.
- Relevant laws, regulations, industry practices, and external conditions.

- Emerging risks, trends, and developments affecting the organization and internal auditing.

Internal auditors can develop their competencies through professional qualifications, training, mentoring, supervised assignments, and feedback from supervisors, peers, and stakeholders.

The chief audit executive should understand the team's capabilities, identify gaps, support development, and allocate appropriate resources. Where specialist knowledge is unavailable internally, the function may consider qualified external providers or appropriate reliance on other assurance providers.

Professional credentials support evidence of competency, but practical application and performance should also be assessed.

Examples of Evidence of Conformance

- Records of education, professional certifications, experience, and qualifications.
- Competency self-assessments and individual development plans.
- Training and continuing education completion records.
- Performance evaluations and supervisory review records.
- Post-engagement feedback and stakeholder surveys.
- Internal and external quality assessment results.
- Competency requirements mapped to the audit plan, with documented gap analyses and development budgets.
- Assurance maps or assessments of other providers' competencies.

2. Audit Focus Areas

- Alignment of auditor competencies with assigned responsibilities.
- Collective capability to deliver the audit charter and audit plan.
- Knowledge and practical application of the Global Internal Audit Standards.
- Availability of specialist expertise for complex engagements.
- Identification and resolution of competency gaps.
- Effectiveness of supervision, mentoring, and performance evaluation.

3. Risks

Risk	Indicative Rating
Auditors perform assignments without sufficient expertise, resulting in unsupported conclusions.	High
Collective competency gaps prevent adequate coverage of significant risks.	High
Insufficient knowledge of the Standards leads to inconsistent audit practices.	High
Specialist providers are used without adequate assessment of their capabilities.	High
Development activities fail to address demonstrated performance weaknesses.	Medium

4. Controls

Suggested Control	Control Type
Maintain a competency framework defining expectations for audit roles.	Preventive
Map available competencies against the audit plan and identify gaps.	Preventive / Detective
Assess team competence before assigning an engagement.	Preventive
Arrange specialist support, recruitment, or supervised development to address gaps.	Preventive / Corrective
Conduct supervisory reviews and periodic performance assessments.	Detective / Corrective
Evaluate external providers' qualifications, relevant experience, and proposed staffing.	Preventive

5. Audit Procedures

Procedure	Evidence to Examine
Compare role expectations with auditors' documented qualifications and experience.	Job descriptions, competency framework, staff profiles
Assess whether the function has the collective expertise needed for planned services.	Audit charter, audit plan, competency matrix, gap analysis
Sample engagements and evaluate whether assigned staff had or obtained the necessary competence.	Staffing decisions, training records, specialist support arrangements
Review how auditors demonstrate knowledge of the Standards.	Training records, assessments, methodologies, reviewed workpapers
Trace identified competency gaps to actions and subsequent evaluation.	Development plans, recruitment records, performance reviews

Procedure	Evidence to Examine
Evaluate assessments of external specialists or other assurance providers.	Provider evaluations, scope agreements, assurance maps
Examine whether supervision and quality assessments identify recurring competency weaknesses.	Review notes, quality assessment reports, corrective actions

6. Red Flags

- Complex assignments allocated without a documented assessment of required skills.
- Significant risks repeatedly excluded because expertise is unavailable.
- Recurring technical errors or extensive supervisory rework.
- Competency records that list qualifications but do not assess practical capability.
- Identified skill gaps with no action owner or resolution plan.
- Reliance on specialists without evaluating relevant experience.

7. Common Findings — Illustrative Examples

- The competency framework does not reflect current audit responsibilities.
- The audit plan was approved without assessing the expertise needed to deliver it.
- Engagement staffing decisions do not address identified specialist knowledge gaps.
- Individual development plans are not linked to performance feedback.
- External providers' capabilities are insufficiently evaluated.
- Recurring quality issues have not resulted in targeted competency improvements.

8. Professional References

- Global Internal Audit Standards — Standard 3.1: Competency.
- Standard 7.2: Chief Audit Executive Qualifications.
- Standard 10.1: Financial Resource Management.
- Standard 10.2: Human Resources Management.

Standard 3.2 — Continuing Professional Development

Domain: II — Ethics and Professionalism

Principle: 3 — Demonstrate Competency

1. Standards & Guidance

Requirements

- Internal auditors must maintain and continually develop their competencies to improve the effectiveness and quality of internal audit services.

- Internal auditors must pursue continuing professional development, including education and training.
- Practicing internal auditors who hold professional internal audit certifications must comply with the continuing professional education requirements applicable to those certifications.

Considerations for Implementation

Professional development may include:

- Formal education, courses, conferences, and workshops.
- Self-directed study and professional publications.
- On-the-job training and supervised assignments.
- Special assignments and job rotations.
- Mentoring, coaching, and supervisory feedback.
- Webinars and professional events.

Development should address emerging risks, new technologies, changes affecting the organization, and developments in internal auditing.

Internal auditors should actively identify learning needs and review their career development regularly. The chief audit executive should plan and budget for development, balancing the collective needs of the function with individual professional growth.

Certification holders should understand and meet their credential maintenance requirements, including applicable ethics education requirements. Regular ethics-focused learning should also form part of development for internal audit professionals.

Development should support the practical application of learning, as well as participation in educational activities.

Examples of Evidence of Conformance

- Plans for training, conferences, and continuing professional education.
- Records of completed education and professional credentials.
- Performance reviews and individual development plans.
- Active participation in relevant professional organizations, including volunteering where applicable.

2. Audit Focus Areas

- Continuing development for all internal auditors.
- Alignment of learning activities with competency gaps and audit priorities.
- Compliance with applicable certification maintenance requirements.
- Availability of training budgets and protected learning time.
- Development in ethics, emerging risks, and technology.

- Application of learning to engagement performance.

3. Risks

Risk	Indicative Rating
Outdated knowledge reduces the function's ability to assess emerging risks.	High
Certification holders fail to meet credential maintenance requirements.	Medium
Development activities do not address the skills needed for planned engagements.	High
Budget or workload constraints repeatedly prevent necessary training.	Medium
Training completion is recorded without evaluating whether learning improves performance.	Medium

4. Controls

Suggested Control	Control Type
Maintain individual development plans linked to role requirements and performance feedback.	Preventive
Establish a function-wide development plan with appropriate resources.	Preventive
Track certification-specific education requirements and relevant deadlines.	Preventive / Detective
Retain evidence supporting completed development activities.	Detective
Review progress periodically and address overdue development actions.	Detective / Corrective
Assess practical learning through feedback, supervised assignments, and engagement reviews.	Detective / Corrective

5. Audit Procedures

Procedure	Evidence to Examine
Review whether all auditors have appropriate continuing development arrangements.	Development plans, staff roster, performance reviews
Compare planned learning with competency gaps and upcoming audit needs.	Competency assessments, audit plan, training schedule
Evaluate whether budgets and workloads allow necessary development.	Training budget, expenditure, attendance, cancellation records
For sampled credential holders, compare completed activities with applicable certification requirements.	Credential requirements, education logs, completion evidence

Procedure	Evidence to Examine
Examine whether development addresses ethics and relevant emerging topics.	Course content, learning plans, attendance records
Assess whether completed learning is applied in practice.	Workpapers, supervisor feedback, post-training evaluations
Review how missed training and overdue development actions are resolved.	Progress reports, revised plans, follow-up records

6. Red Flags

- Development plans copied forward without reassessing learning needs.
- Repeated cancellation of training because of workload.
- Education records unsupported by completion evidence.
- Certification holders unaware of their maintenance requirements.
- Learning activities unrelated to the auditor's responsibilities or development needs.
- Repeated performance weaknesses despite recorded training completion.
- Development opportunities limited to certified staff.

7. Common Findings — Illustrative Examples

- Continuing development plans do not address identified competency gaps.
- Training budgets are insufficient for documented development needs.
- Certification maintenance requirements and deadlines are not consistently monitored.
- Records of completed learning are incomplete or unreliable.
- Emerging risks and technology changes are absent from development planning.
- Supervisors do not assess whether learning improves engagement performance.

8. Professional References

- Global Internal Audit Standards — Standard 3.2: Continuing Professional Development.
- Standard 3.1: Competency.
- Applicable certification body policies for continuing education and credential maintenance.

Platform note: Do not assign one universal CPE hours requirement to all auditors. Track the requirements applicable to each certification separately.